

has a supply-demand problem. New units of freely traded GBTC can only be created when accredited investors choose to exit their initial investment in the BIT, and there is no requirement to ever do so. Thus, as demand builds, the supply to match the demand isn't always there.

Some may initially see GBTC as an ETF, and therefore wonder why so much drama has unfolded around a “bitcoin ETF.” However, the BIT and GBTC are a far cry from an ETF, both in the regulatory approval they have been granted and in the operational complexity. ETFs are constructed so that the value of the shares stay close to the net asset value. Keeping shares close to NAV avoids the sizeable premiums like those which GBTC investors must endure. Furthermore, an ETF requires sign-off from the SEC. While the BIT is a step in the right direction, many steps remain before an SEC-approved ETF will be available to investors.

## **THE WINKLEVOSS TWINS AND THE BITCOIN ETF RACE**

Upon inception of the BIT, Grayscale was the only provider of a bitcoin-based capital market investment vehicle in the United States, but others were interested in getting a piece of the action. Little did Grayscale know it would have competition from former Olympic rowers and near-founders of Facebook. Perhaps best known for their involvement with the latter, Cameron and Tyler Winklevoss are two well-to-do investors. They claimed to be the originators of the idea for Facebook,